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No.

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IN THE
Supreme Court of the United States

OCTOBER TERM, 1994

HERCULES INCORPORATED

and

WM. T. THOMPSON COMPANY,

Petitioners,

v.

UNITED STATES OF AMERICA,

Respondent.

Petition for Writ of Certiorari to the
United States Court of Appeals
for the Federal Circuit

PETITION FOR A WRIT OF CERTIORARI

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BRITISH AIR FORCE

1. The British Air Force is the most powerful in the world.

2. It is the most modern and most efficient.

QUESTION PRESENTED

Judge Plager, in dissenting from the opinion issued by the court of appeals, stated the question as starkly as possible:

If the government compels manufacture of a product by private companies, a product known to the government to be potentially dangerous, and the use by the government of the product causes the manufacturers to incur liability, may the government claim immunity from the consequences of its conduct?

(App. 34a-35a).

Subsumed within this larger question are two distinct issues of law which should be addressed by this Court:

1. Whether the government contractor defense to *tort claims* created by this Court in *Boyle v. United Technologies Corp.*, 487 U.S. 500 (1988), precludes *breach of contract claims* against the United States that otherwise are permissible in accordance with *United States v. Spearin*, 248 U.S. 132 (1918).

2. Whether the government may compel government contractors to produce hazardous products (such as Agent Orange) pursuant to the Defense Production Act, and then avoid all contractual liability for damages suffered by the contractors when they subsequently are sued in tort actions by third parties allegedly harmed by these products.

PARTIES TO PROCEEDING BELOW

All of the parties are listed in the caption. Pursuant to Rule 29.1, Petitioners make the following disclosures:

1. Hercules Incorporated has no parent company and has no subsidiaries or affiliates that are publicly traded.
2. Wm. T. Thompson Company has no parent company and has no subsidiaries or affiliates that are publicly traded.

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IN THE
Supreme Court of the United States

W. H. RAY, Petitioner,
vs.
UNITED STATES OF AMERICA, Respondent.

OPINION OF THE COURT.
The opinion of the United States is that the
United States is not bound by the
opinion of the United States.

IN THE
Supreme Court of the United States

OCTOBER TERM, 1994

No. _____

HERCULES INCORPORATED
and
WM. T. THOMPSON COMPANY,
v. *Petitioners,*
UNITED STATES OF AMERICA,
_____ *Respondent.*

**Petition for Writ of Certiorari to the
United States Court of Appeals
for the Federal Circuit**

PETITION FOR A WRIT OF CERTIORARI

Hercules Incorporated ("Hercules") and Wm. T. Thompson Company ("Thompson") hereby petition for a writ of certiorari to review the judgment and opinion of the United States Court of Appeals for the Federal Circuit, entered on May 4, 1994, in the consolidated appeals of *Hercules Incorporated v. The United States* and *Wm. T. Thompson Company v. The United States*.

OPINIONS BELOW

The opinion of the United States Court of Federal Claims (then the United States Claims Court) granting the United States' motion for summary judgment against

Hercules (App. 47a-80a)¹ is reported at 25 Cl. Ct. 616. The opinion of that same court granting the United States' motion for summary judgment against Thompson (App. 82a-115a) is reported at 26 Cl. Ct. 17. The divided opinion of the United States Court of Appeals for the Federal Circuit affirming the Claims Court (App. 1a-46a) is reported at 24 F.3d 188.

JURISDICTION

The judgment of the court of appeals was entered on May 4, 1994. Rehearing was denied on July 14, 1994. (App. 117a-121a). On September 26, 1994, the Chief Justice extended the time for filing a petition for a writ of certiorari until November 4, 1994. The jurisdiction of this Court is invoked pursuant to 28 U.S.C. § 1254(1).

STATUTORY PROVISIONS INVOLVED

Section 707 of the Defense Production Act, as amended, 50 U.S.C. § 2157, provides as follows:

No person shall be held liable for damages or penalties for any act or failure to act resulting directly or indirectly from compliance with a rule, regulation, or order issued pursuant to this Act.

STATEMENT OF THE CASE

A. The Compelled Production of Agent Orange

This case involves the most recent chapter in the long story surrounding the United States' use of a defoliant known as Agent Orange during the Vietnam War.² Petitioners are two chemical companies which, during the 1960's, were compelled by the United States under the authority of the Defense Production Act, 50 U.S.C.

¹ All citations to "App. ——" refer to the Appendix filed contemporaneously herewith pursuant to United States Supreme Court Rule 14(k).

² For a thorough and insightful telling of this story, see Peter H. Schuck, *Agent Orange on Trial* (enlarged ed. 1987).

§§ 2061, *et seq.*, to produce and sell Agent Orange to the Department of Defense. (Jt. App. 0097-0098).³ While Hercules and Thompson had some experience in producing herbicides for commercial use, neither company had ever produced defoliants and neither company had any knowledge of the hazards, if any, that might accompany the military use of such defoliants. (Jt. App. 0544, 0546-0548, 0448, 0431, 0432).

The United States, in contrast, had engaged in years of study about the use of defoliants for military applications and possessed a wealth of information pertaining to the potential hazards associated with the military use of such compounds. The United States never disclosed this information to petitioners. Instead, the United States developed and provided to Hercules and Thompson precise specifications for the production of Agent Orange.⁴ The United States periodically inspected Hercules' and Thompson's plants to verify that the composition of the Agent Orange produced met these specifications. While the United States knew as early as 1959 that the manufacture of Agent Orange according to these specifications would produce a highly toxic by-product known as "dioxin," Hercules and Thompson were ignorant of this fact when they began manufacturing Agent Orange pursuant to the United States' specifications. (Jt. App. 0446-0447, 0450, 0459, 0465, 0467, 0489).

All of the Agent Orange produced by Thompson and Hercules was provided to the United States under "rated orders" pursuant to the Defense Production Act. *See In Re Agent Orange Product Liability Litigation*, 597 F. Supp. 740, 844 (E.D.N.Y. 1984), *aff'd*, 818 F.2d 145 (2d Cir. 1987), *cert. denied*, 484 U.S. 1004 (1988).

³ All citations to "Jt. App. ——" refer to the Joint Appendix filed in the proceedings before the United States Court of Appeals for the Federal Circuit.

⁴ These specifications included the requirement that no warning labels or instructions of any kind be placed on the product.

Thompson and Hercules would have been subject to civil and criminal penalties, as well as mandatory injunctions, if they had not complied with the United States' demands. These demands eventually resulted in the virtual takeover of Hercules' and Thompson's production facilities, despite the protestations of both Thompson and Hercules. Indeed, in March of 1967 the United States Department of Defense directed Hercules to divert its *entire* herbicide production capacity to the manufacture of Agent Orange. The United States rejected Hercules' request for some relief from the government's rated orders so that it could satisfy its pre-existing commercial commitments.

Thompson went to great lengths to attempt to avoid the compelled production of Agent Orange altogether. Among other things, the President of Thompson personally flew to Washington, D.C. and petitioned the Department of Defense to release Thompson from the rated orders so that it would not have to manufacture Agent Orange at all. These efforts, however, proved unavailing and Thompson was ordered under the Defense Production Act to produce Agent Orange. (App. 4a).

B. The Agent Orange Litigation

In the late 1970s, Hercules and Thompson, along with other Agent Orange manufacturers, were sued in a class action by thousands of veterans and others seeking damages for health problems resulting from exposure to Agent Orange ("Agent Orange Litigation"). The United States was brought into the case by the defendant manufacturers as a third-party defendant. The Agent Orange plaintiffs alleged that Agent Orange produced in accordance with government specifications contained dioxin as a by-product, which was alleged to be one of the most potentially toxic substances known to man. The plaintiffs sought up to \$40 billion in damages. (Jt. App. 0510).

Hercules and Thompson, among others, moved for summary judgment against the plaintiff class on the

grounds that they were not subject to suit because, in manufacturing Agent Orange, they complied in full with government specifications. This defense, now known as the "government contractor defense," would subsequently be recognized by a sharply divided Court in *Boyle v. United Technologies Corp.*, 487 U.S. 500 (1988), *cert. denied*, 488 U.S. 994 (1988) ("Boyle"). Although Judge Pratt, the first district judge assigned to the case, wrote a decision that granted petitioners' motion, *In Re Agent Orange Product Liability Litigation*, 565 F. Supp. 1263 (E.D.N.Y. 1983), Judge Weinstein took over the Agent Orange litigation and withdrew Judge Pratt's opinion before it was entered as a formal judgment.⁵ Thereafter, Judge Weinstein ruled that Hercules and Thompson would remain as defendants in the litigation and that the viability of the government contractor defense could not be determined on summary judgment, but would have to be determined by the jury during the trial on liability. *In Re Agent Orange Product Liability Litigation*, 100 F.R.D. 718, 723 (E.D.N.Y. 1983), *aff'd*, 818 F.2d 145 (2d Cir. 1987), *cert. denied*, 484 U.S. 1004 (1988).

Rather than risk a catastrophic judgment and incur enormous attorneys' fees and litigation costs in the process, even if successful, Hercules and Thompson joined the rest of the defendant companies in their decision to settle the matter. The United States was invited to participate in the settlement negotiations, but refused to do so. *In Re Agent Orange Product Liability Litigation*, 597 F. Supp. at 879. On May 7, 1984, on the eve of trial, Hercules, Thompson, and all of the other defendant companies settled the Agent Orange class action for a total of \$180 million to be divided among the defendants on a market share basis. Hercules' share of the settlement was \$18,772,568. Thompson's share of the settlement was \$3,096,597. There is no issue at this point about the reasonableness of the amount of the settlement or

⁵In the absence of the entry of a formal judgment, Judge Pratt's decision was, of course, a legal nullity. Fed. R. Civ. P. 58.

petitioners' contribution thereto. Also, during the litigation, Hercules incurred defense costs in excess of \$6 million. Thompson incurred defense fees in excess of \$3 million.

The district court affirmed the Agent Orange settlement as reasonable and fair to the plaintiff class four months later. At that time, the district court held that, if Hercules and Thompson had not settled, "there was a possibility of an ultimate liability with claims totalling *billions of dollars.*" *In Re Agent Orange Product Liability Litigation*, 597 F. Supp. at 749 (emphasis added).

Some of the Agent Orange plaintiffs opted out of the class action settlement and continued to press their individual claims. The petitioners later moved for summary judgment against these individuals on various grounds, including the government contractor defense. However, the United States, which was still a third-party defendant in the case, vehemently opposed the assertion of this defense, arguing in its brief in opposition to the motion for summary judgment that "there exists substantial and convincing evidence that establishes not only that there are indeed genuine issues of material fact directly bearing on the validity of each and every contention relating to the government contract defense, *but also that the defense does not further the policies it purports to serve.*" (Jt. App. 0664) (emphasis added). Despite the government's opposition, the court awarded summary judgment against the plaintiffs who had opted out from the class. *In Re Agent Orange Product Liability Litigation*, 611 F. Supp. 1223 (E.D.N.Y. 1985), *aff'd*, 818 F.2d 187 (2d Cir. 1987), *cert. denied*, 487 U.S. 1234 (1988).

Even though Hercules and Thompson resolved the Agent Orange litigation on comparatively favorable terms, the cost of the settlements and the legal fees seriously affected the financial status of both Hercules and Thompson. In fact, Thompson ultimately was forced to cease operations due to the threat of future liabilities stemming

from its manufacture of Agent Orange. Both companies continue to defend Agent Orange tort claims at considerable expense.⁶

C. The Government's Escape From Accountability

On June 8, 1990 and May 7, 1990 respectively, Hercules and Thompson independently commenced actions in the United States Claims Court seeking reimbursement from the United States for the settlement and defense costs they had incurred in connection with the Agent Orange litigation. Their complaints set forth several different claims for relief based on a contractual breach by the government, plus a claim under the Defense Production Act based on indemnification.

Petitioners' principal contract claim was based on *United States v. Spearin*, 248 U.S. 132 (1918) ("Spearin"). Hercules and Thompson each alleged that the government

⁶ Indeed, despite the supposed invincibility of the government contractor defense, Hercules and other Agent Orange manufacturers continue to face a wide range of claims stemming from their manufacture of Agent Orange for the government. Those claims include efforts to have the entire Agent Orange settlement agreement thrown out and the original class action reinstated, *Ivy v. Diamond Shamrock Chemicals Co.*, 114 S. Ct. 1125 (1994) (denying certiorari in case urging reopening of the Agent Orange litigation); independent actions by other Vietnam veterans who assert that their claims did not arise until after the settlement in the Agent Orange litigation, e.g., *Ryan v. Dow Chemical Co.*, 781 F. Supp. 934 (E.D.N.Y. 1992); and claims by civilians allegedly exposed to Agent Orange in Vietnam who were outside the scope of the Agent Orange class as certified by Judge Weinstein, e.g., *Ryan v. Dow Chemical Co.*, *supra*. On May 17, 1994, a group of Korean Army veterans who served in Viet Nam moved to intervene in the original Agent Orange litigation for the purposes of participating in the settlement fund. Subsequently, on August 2, 1994, twenty-four Korean veterans, out of some 320,000 Koreans who served in Vietnam, filed suit in federal district court against the same Agent Orange defendants seeking damages for personal injuries allegedly suffered from exposure to Agent Orange. *Jae Sup Chung v. Dow Chemical Co.*, No. C-94-2513 (N.D. Cal. filed August 2, 1994).

breached a contractual warranty of specifications by requiring them to manufacture a product, pursuant to government design specifications, that the United States (but not petitioners) knew would contain a dangerous by-product (dioxin). Those specifications ultimately proved to be the basis for veteran plaintiffs' claims that Agent Orange was defective and thereby subjected Hercules and Thompson to potential third-party liability of an enormous magnitude.⁷

The claim for indemnification under the Defense Production Act was predicated on the plain language of 50 U.S.C. § 2157, which specifically provides that "[n]o person shall be held liable for damages or penalties for any act or failure to act resulting directly or indirectly from compliance with a rule, regulation, or order issued pursuant to this Act." Because Thompson and Hercules had produced Agent Orange under an "order issued pursuant to this Act," this provision evidenced a clear Congressional intent to indemnify petitioners against any losses they incurred as a result of the Agent Orange litigation.

Prior to any discovery taking place and solely on the basis of the pleadings, the Claims Court dismissed the complaints of Hercules and Thompson on summary judgment. The trial court held that all of the claims asserted were barred as a matter of law. (App. 47a-115a).

A divided panel of the Federal Circuit affirmed the dismissal on the grounds that the government contractor defense would have provided Hercules and Thompson with an absolute defense to the claims of the plaintiff class in the Agent Orange litigation had that matter been

⁷ Other claims for relief arose from the Government's breach of its additional obligations to disclose superior knowledge concerning the potential hazards of Agent Orange and dioxin; the Government's breach of its duty to exercise due care in using Agent Orange; and the Government's breach of the duty of good faith and obligation not to increase contract costs.

litigated to a conclusion. In particular, the Federal Circuit held:

There can be no serious doubt that had the class action Agent Orange Litigation proceeded to termination, no liability would have been imposed against Hercules or Thompson.

(App. 23a). The court of appeals thus held that the cost of settlement incurred by Hercules and Thompson was purely voluntary and had nothing to do with any breach by the United States of a warranty of specifications.⁸

As to the claim for indemnity under the Defense Production Act, the court of appeals concluded that, while the plain language of the act grants indemnity as a *quid pro quo* for the action the contractor is compelled to take, the ordinary practice of indemnifying against the costs of delay arising from requiring priority of performance for the government over private customers is the limit of the indemnity. Accordingly, costs that arise from compulsion to accept performance in and of itself are not included within the scope of the indemnification. (App. 28a-33a).

Judge Plager dissented from the panel's disposition of each of the claims asserted by petitioners, concluding that "the law affords substantially more justice than the majority concedes." (App. 34a). After tracing the convoluted and complicated history of "the so-called 'government contractor defense,'" Judge Plager observed that the majority's suggestion "that the evolving government

⁸ As to petitioners' claim that the government breached its obligation to disclose superior knowledge, the court of appeals created a new rule that the doctrine of superior knowledge only extends to undisclosed information which increases costs during performance of a contract. Because the costs petitioners incurred in defending and settling the Agent Orange litigation occurred after the actual performance of their contracts to manufacture Agent Orange, the court of appeals held that, as a matter of law, such costs could not be recovered. (App. 15a-16a.)

contractor defense would clearly dictate the outcome in the original *Agent Orange* litigation seems to me to be unwarranted historical revisionism, out of place in the decision before us in this case.” (App. 40a).⁹ Similarly, Judge Plager viewed the majority’s conclusion on the claim for indemnification under the Defense Production Act as “a *non sequitur*,” and one which “ignores the language of the statute.” (App. 44a).

REASONS FOR GRANTING THE PETITION ¹⁰

Judge Plager’s dissent plainly and eloquently states the equities involved in petitioners’ effort to recover for the losses they suffered as a result of the government’s decision to “seize” their companies, and compel them “to engage in a dangerous enterprise.” (App. 44a, 46a). It cannot seriously be disputed that petitioners were harmed by the government’s actions in mandating the manu-

⁹ As to the majority’s basis for dismissing the superior knowledge claim asserted by petitioners, Judge Plager commented that “[t]here is neither prior authority nor present reason to limit the doctrine of superior knowledge to require compensation only for the difficulties incurred during performance. . . . if the Government’s incomplete or misleading information, or its particular specification of its requirements, imposes losses, now or later, on the contractor, then the Government, like any other contractor, should not escape responsibility.” (App. 41a, 43a).

¹⁰ The Federal Circuit has exclusive jurisdiction over final decisions of the United States Court of Federal Claims. See 28 U.S.C. § 1295(a) (3). Accordingly, there will rarely, if ever, be a conflict among the Circuits regarding issues raised in cases filed in the United States Court of Federal Claims. However, because the Federal Circuit has exclusive jurisdiction over the United States Court of Federal Claims and certain other federal courts, the rules that the Federal Circuit applies are “a matter of special importance to the entire Nation.” *Cardinal Chemical Co. v. Morton International, Inc.*, — U.S. —, 113 S. Ct. 1967, 1971 (1993). This Court has not hesitated to grant review in cases involving issues of recurring importance to the relationship between the federal government and private litigants. See e.g., *Gardner v. Brown*, 5 F.3d 1456 (Fed. Cir. 1993), cert. granted, 114 S. Ct. 1396 (1994).

facture of a product pursuant to specifications which the government supplied and which it knew would result in the generation of a dangerous by-product (dioxin). The government's actions led inexorably to the Agent Orange litigation, and just as inexorably to the settlement of that matter on the eve of trial. The only dispute is whether the law provides a means by which this wrong can be redressed.

According to the court of appeals, the law does not provide a remedy for Thompson and Hercules because petitioners "volunteered" to suffer the damages which inevitably flowed from the government's conscription of their manufacturing facilities. The majority engages in this "historical revisionism" (App. 40a), to achieve what it sees as a necessary symmetry between tort and contract principals: where sovereign immunity would preclude any private *tort* claims against the United States as a result of the government's discretionary activities, then innocent manufacturers compelled to assist in those activities must also be precluded from redress in *contract* against the United States for the damages the manufacturers suffer when those same tort claims are asserted against the manufacturers.

In the name of protecting the government fisc, the court of appeals denies petitioners the justice they deserve. The court forces this result by looking past the reasonableness of the settlement and conducting an inquiry into the underlying tort. This adventure undermines the established policy of encouraging reasonable settlement of litigation. This decision thus threatens, in the long run, to increase the costs of government contracting, costs which will ultimately be borne by the United States. This decision also threatens to involve the courts in convoluted efforts by the government to bar contract claims with tort defenses, creating inappropriate arguments about settlements entered with good cause and in good faith. The court concludes that Hercules and Thompson must bear the crippling costs of redressing the veterans for the

government's acts because it misapprehends *Boyle* to require a result which insulates the government.

Not only do established contract law principles and policies require that petitioners be able to recover against the United States the damages they suffered as a result of the United States' breach of its contractual obligations, but the explicit language of the Defense Production Act establishes that Congress likewise believed the government should be held responsible for these same damages.

I. THE COURT OF APPEALS' DETERMINATION CONFLICTS WITH ESTABLISHED CONTRACT PRINCIPLES AND IMPORTANT POLICY CON- SIDERATIONS.

The court of appeals incorrectly held that Hercules and Thompson were barred from suing the government for breach of an implied warranty of specifications because they settled the Agent Orange litigation. This decision is in direct conflict with the contractual right of action against the government that this Court established for government contractors decades ago in *Spearin*, 248 U.S. 132.

The elements necessary for a contractor to bring a claim against the government under *Spearin* are as follows:

- (1) The specifications under the contract are design specifications, i.e., they set forth in precise details the materials to be employed and the manner in which the work is to be performed;
- (2) The design specifications were devised and drafted by the government; and
- (3) The government had superior knowledge concerning that part of the design specification causing the defect in the product contracted for.

Johns-Manville Corp. v. United States, 13 Cl. Ct. 72, 118-120 (1987), *vacated on jurisdictional grounds*, 855

F.2d 1571 (Fed. Cir. 1988). Where this showing is made, *Spearin* stands for the proposition that the contractor can recover damages from the United States for harm caused to the contractor by the defective specifications.

Hercules and Thompson both established all of the necessary elements for a *Spearin* claim against the government. It has been judicially determined in the Agent Orange litigation that the government had mandated design specifications for Agent Orange; that Hercules and Thompson had followed these specifications exactly; that the alleged defect in Agent Orange that gave rise to the Agent Orange litigation arose directly from the specifications; and that this defect was known to the government at the time it compelled Hercules and Thompson to produce Agent Orange. As damages, Hercules and Thompson asserted the costs of the Agent Orange litigation settlements and their legal fees.

The court of appeals held that a *Spearin* claim was barred because Hercules and Thompson could not prove causation between their damages and the breach of warranty. Specifically, the court held that, had Hercules and Thompson pursued the Agent Orange litigation to completion, eventually a court *would have* determined that the government contractor defense as later articulated in *Boyle* barred the imposition of tort liability against them. Thus, by settling with the class—instead of waiting for the jury or the court to absolve them of any liability—Hercules and Thompson voluntarily assumed liability for which the government was not responsible.¹¹

Significantly, the court of appeals did not and could not cite any legal authority in support of this unprecedented decision. Indeed, the court's holding directly conflicts

¹¹ Notably, had Hercules and Thompson submitted to trial and lost, their combined claim against the Government now could total billions of dollars, rather than \$24 million. See *In Re Agent Orange Product Liability Litigation*, 597 F. Supp. at 749.

with established principles of contract law. In particular, where a breach by one party to a contract results in claims by third persons against the other party to the contract, the party sued is *not* required to litigate the third-party claims to conclusion and lose in order to recover damages associated with the third-party claims. Rather, "in furtherance of the policy favoring private settlement of disputes, the injured party is also allowed to recover the reasonable amount of any settlement to avoid litigation, together with the costs of settlement." *Restatement (Second) of Contracts* § 351, cmt. c (1981).

This rule allows parties like petitioners, "caught in the middle" between personal injury plaintiffs and other parties responsible for the injuries, to settle the third-party claims and then recover in contract the costs of that settlement against the other party where they can demonstrate 1) they were *potentially* liable to the third parties as a result of the conduct of the other party to the contract and 2) the settlement was reasonable based on the size of the possible recovery and the probability of the claimant's success. Contrary to the holdings below, this is a factual inquiry unsuitable for disposition on summary judgment.

For example, in *Parfait v. Jahncke Service, Inc.*, 484 F.2d 296, 304 (5th Cir. 1973), *cert. denied*, 415 U.S. 957 (1974), one company obtained reimbursement from another company for the cost of settling a lawsuit brought against it by an employee of the second company. Reimbursement was granted on grounds that a showing of the first company's potential liability to the employee was enough to justify the settlement. The application of this policy is so clear that in *Damanti v. A/S Inger*, 314 F.2d 395, 397 (2d Cir.), *cert. denied*, 375 U.S. 834 (1963), a shipowner recovered the cost of a settlement despite a jury finding that there was no underlying third-party liability, on grounds that the shipowner faced *potential* liability at the time that it settled. The decision below

manifestly conflicts with these decisions concerning the proper contract principles that should apply here.

Moreover, the court of appeals' decision in this case reflects a profound lack of appreciation for the realities of litigation which will undermine the strong judicial policy favoring settlements. *See Janneh v. GAF Corp.*, 887 F.2d 432, 435 (2d Cir. 1989), *cert. denied*, 498 U.S. 865 (1990) ("Litigants, courts, and Congress view settlement as a positive force, indispensable to judicial administration."); *Ahern v. Central Pacific Freight Lines*, 846 F.2d 47, 48 (9th Cir. 1988) (quoting from *United States v. McInnes*, 556 F.2d 436, 441 (9th Cir. 1977)) ("there is an overriding public interest in settling and quieting litigation"). It is impossible to know whether the government contractor defense would have prevailed against the class in the Agent Orange litigation had it been submitted to the jury after trial. As stated succinctly by the dissenting judge below: "I do not know what the ultimate decision in the Agent Orange litigation would have been on this issue, nor does anyone." (App. 40a). Obviously, it was the existence of that uncertainty at the time that legitimately motivated the parties to settle.¹² To

¹² Contrary to the court of appeals' holding, there are many reasons why, rightly or wrongly, the government contractor defense might have failed. First, the government contractor defense is a fact-specific, affirmative defense to liability. *Boyle*, 487 U.S. at 514 ("whether the facts establish the conditions for the [government contractor] defense is a question for the jury.") It does not immunize government contractors from being sued in tort actions, in the way that sovereign immunity precludes the assertion of such actions against the Government. *See Osborn v. Bank of United States*, 22 U.S. 738 (1824). There is no guarantee that a jury or court would have concluded that the defense applied to *Hercules and Thompson*.

Second, the test articulated by this Court in *Boyle* would certainly not have protected petitioners. *Boyle* holds that where a contractor furthers federal interests by complying with government specifications, that contractor should not have to answer in state court under state law principles given that "substantial fed-

penalize petitioners for their reasonable decision is unfair and distorts the litigation process in ways that can only cause a greater drain on scarce judicial resources.

However, if the court of appeals' decision is permitted to stand, every time a government contractor with a potential *Spearin* claim against the government is sued by a third-party plaintiff, the contractor will face a Hobson's choice. If the government contractor settles the third-party action, it will face the possibility that a federal court will decide in hindsight that it could have avoided any liability in the third-party action by litigating to conclusion the government contractor defense. If the government contractor does not settle, it will risk greater exposure and expense by proceeding to trial on the third-party claim. If the contractor prevails in the third-party action, no matter what the basis, the government will argue that the contractor has suffered no damages from any breach of warranty by the government. If the contractor loses, the government will argue that the contractor's failure to establish the government contractor defense in the underlying tort action precludes it from establishing the elements of a *Spearin* claim against the United States. In sum, the decision below severely undermines the *Spearin* claim without any discussion or even

eral interests" are involved. 487 U.S. at 505-07, 511-12. The Federal Circuit in fact bases its reasoning upon the perils of government liability under state law. Yet the liability petitioners faced in federal district court was expressly not based upon state law, but a "national consensus law." See *In Re Agent Orange Product Liability Litigation*, 580 F. Supp. 690 (E.D.N.Y. 1984). Federal interests were tested by federal law in this matter, and no preemption issue existed in this litigation. *Boyle* would thus not have insulated petitioners. (App. 37a-40a).

Third, this defense failed Hercules and Thompson when they filed their motions for summary judgment against the class and the Government itself vehemently opposed the defense on factual and policy grounds when Hercules and Thompson later raised it against the opt-out plaintiffs in the Agent Orange litigation.

apparent recognition of that fact. For that reason alone, review by this Court is warranted.

In response to the holding of the court of appeals, government contractors will be required either to raise their prices to cover costs which will no longer be recoverable in contract from the United States, or refuse contracts altogether, thereby restricting potential competition which will likewise increase costs. This is precisely the result which *Boyle* sought to avoid. *Boyle*, 487 U.S. at 507. Given the importance of this issue to the relationship between the United States and its contractors, the Court should grant the petition.

II. THE COURT OF APPEALS' EFFORTS TO APPLY CONCEPTS AND POLICIES DEVELOPED IN TORT LAW TO THE ARENA OF GOVERNMENT CONTRACT LAW WILL CREATE UNNECESSARY CONFUSION AND UNCERTAINTY.

Established boundaries exist between claims against the United States sounding in contract versus those sounding in tort. In the area of tort claims as governed by the Federal Tort Claims Act, a complex jurisprudence has developed around the government's waiver of sovereign immunity and the numerous exceptions and procedural and substantive limitations to that waiver. The court of appeals' efforts to import that jurisprudence into the law of government contracts under the Tucker Act is fundamentally flawed, constitutes judicial legislation, and threatens to create untoward confusion and complexity in government contracting relations as the courts struggle to accommodate a linkage between tort and contract principles which should not exist.

Unlike tort claims against the government where no privity exists and an affirmative waiver of sovereign immunity is required, Tucker Act cases arise between parties in privity; the United States waives its protections against parties with whom it enters into contractual relations. Where the breach and the damage are within the foreseeable contemplation of the contracting parties, no

further analysis of sovereign immunity need be made. The court in a contract matter simply enforces the agreement between the parties in the light of established principles of contract law.

A suit which arises primarily from a contractual undertaking is not barred merely because the negligence of the United States ultimately results in the case developing a "tort aspect." *American Ship Building Co. v. United States*, 207 Ct. Cl. 1002 (1975), *rev'd other grounds*, 654 F.2d 75 (Ct. Cl. 1981); *Bird & Sons, Inc. v. United States*, 190 Ct. Cl. 426 (1970). This Court in *Boyle* noted the contract basis of such actions, stating that the "liability may be styled one in tort, but it arises out of performance of the contract." 487 U.S. at 505. The United States is without question answerable for its *contract* breaches, even when the contract involves purchases and designs which are protected from *tort* claims by third parties under the same discretionary function exception in which *Boyle* grounded the government contractor defense. As recognized by the court in *Peter v. United States*, 6 Cl. Ct. 768, 778 (1984):

The policy considerations that motivate the sovereign . . . do not create an umbrella that shields the Government from liability for breach of valid contracts customarily entered. A multitude of defense contractors would be surprised to be told that contracts for ship construction, aircraft production and munitions testing were unenforceable because they were related to defense and foreign policy goals.

Where the contractor's suit against the government is for breach of contract, the parties, the injury, and the cause of action are different than in third-party tort practice. If the contractor makes the necessary showing to recover damages under established contract principles, including a showing that the government has breached its obligations under the contract and that the contractor has incurred damages stemming from a third-party lawsuit caused by the government's breach, it is simply immaterial that the existence of a tort defense (the government con-

tractor defense) might have prevented the contractor from being further damaged.¹³

III. THE COURT OF APPEALS IGNORED THE PLAIN LANGUAGE OF THE DEFENSE PRODUCTION ACT REQUIRING THE GOVERNMENT TO REIMBURSE PETITIONERS FOR THE DAMAGES THEY SUFFERED AS A CONSEQUENCE OF MANUFACTURING AGENT ORANGE.

Consistent with the principles discussed above, Congress itself clearly addressed the issue of how liabilities should be allocated when the government and its contractors face damage claims together as a result of the government-compelled actions of the contractor. Congress not only left the Tucker Act free of exceptions to contractual liability based on the government's discretionary activities, but Congress also stated unequivocally that a contractor compelled to perform a contract by the government is held harmless for any third-party liabilities arising as a result.

Specifically, the Defense Production Act, under whose authority the government compelled petitioners to accept and perform the Agent Orange production contracts, authorizes the President to:

require that performance under contracts or orders (other than contracts of employment) which he deems necessary or appropriate to promote the national defense shall take priority over performance of any other contract or order and, for the purpose of assuring such priority, to *require acceptance* and performance of such contracts or orders in preference to other contracts or orders . . .

50 U.S.C. § 2071(a) (emphasis supplied).

¹³ Indeed, the Federal Acquisition Regulations (FAR) applicable to cost reimbursement contracts make no distinction between the recoverability of a tort-related cost and any other cost incurred in the course of performing the contract. See FAR §§ 28.811-2 and 52.228-7(c). The court of appeals' ruling below, therefore, threatens to undermine rules established in the FAR.

The indemnity provision of the Defense Production Act broadly and plainly provides, *inter alia*:

No person shall be held liable for damages or penalties for any act or failure to act resulting directly or indirectly from compliance with a rule, regulation, or order issued pursuant to this Act. . . . No person shall discriminate against orders or contracts to which priority is assigned or for which materials or facilities are allocated under Title I of this Act . .

50 U.S.C. § 2157 (emphasis supplied).¹⁴

Petitioners contend that the government's compulsion of Hercules and Thompson to manufacture Agent Orange and its control over specifications and production, in conjunction with the "hold harmless" provision of the Defense Production Act, create an implied-in-fact agreement to indemnify petitioners for the damages they suffered in the Agent Orange litigation.¹⁵ The syllogism by which

¹⁴ The court of appeals read the second sentence as narrowly limiting the scope of the protections created in the first sentence. (App. 31a-32a). No rule of statutory construction allows the extremely broad language of the first sentence to be constrained to only the particulars that follow. The second sentence in fact addresses a different protection. As Judge Plager noted in his dissent (App. 44a-45a), the language of the hold harmless provision bars liability for damages without qualification as to type, and contains sweeping language barring liability for any damages directly or indirectly resulting from compliance with any order issued under the Act. No language limits this provision to only those orders which happen to involve priority status.

¹⁵ The context in which the government compelled petitioners to manufacture Agent Orange constitutes an implied-in-fact agreement by the government to indemnify petitioners for losses to third parties. This indemnity goes to the very heart of the relationship the government took on in its treatment of petitioners. In *Ryan Stevedoring Co. v. Pan-Atlantic Steamship Corp.*, 350 U.S. 124, 138 (1956), this Court required an indemnitor to perform. In discussing the stevedore's obligation to handle operations safely, the Court concluded that "This obligation is not a quasi-contractual obligation implied in law or arising out of a noncontractual relationship. It is of the essence of petitioner's stevedoring contract."

the Defense Production Act applies here is straightforward: the indemnity created in the Act is co-extensive with the requirements imposed by the Act (a *quid pro quo*); Thompson and Hercules were required to *accept* and *perform* a contract; therefore, the indemnity covers the risks Thompson and Hercules incurred by virtue of their performance of the contract.

The court of appeals accepted each premise, agreeing that "[l]ogically, then, the protection afforded by section [2157] should correspond to the risk imposed" and recognized that Thompson and Hercules were compelled under the authority of the Defense Production Act to accept contracts they did not want to perform. (App. 28a). Instead of ending the syllogism by holding the United States liable, the court of appeals gymnastically leapt over the logical conclusion and instead held no indemnity as a matter of law. In an act of judicial legislation, the majority accomplished this by limiting the hold harmless provision only to those damages that arise from the use of Defense Production Act authority to require priority in the performance of contracts, and excluding from indemnity harms which arise from forcing acceptance of a contract in the first instance. Thompson and Hercules were required to *accept* and *perform* contracts they otherwise would have rejected. Even though "assuring such priority" is one of the powers conferred by the Act, there is nothing in the language of the hold harmless provision that arbitrarily limits the *quid pro quo* in a way that exposes a defense contractor to enormous potential liability with no means of avoiding the liability either before or after it is incurred. This is outrageous and should not be countenanced by the Court.

Given the confusion which surrounds the efforts to apply this Court's reasoning in *Boyle* to the forced production of Agent Orange, the Defense Production Act offers a straightforward legal basis by which the wrong done petitioners can be remedied. Compelled under the authority of this Act to manufacture a defoliant petition-

ers later discovered was highly toxic, and which resulted in one of the largest potential damage exposures ever faced, petitioners followed the least damaging course to all parties concerned. For these efforts, one has been put out of business and the other has suffered severe losses. The Defense Production Act states clearly and unequivocally that "No person shall be held liable for damages to act resulting directly or indirectly from compliance with a[n] . . . order issued pursuant to this Act." This Court has the opportunity to end a manifest injustice to petitioners, and in so doing set the law on its proper course so that further exercises of authority under the Defense Production Act will not impose crippling burdens on defense contractors forced to protect national security interests.

CONCLUSION

The petition for a writ of certiorari should be granted.

Respectfully submitted,

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